

**DEBTS RECOVERY TRIBUNAL-I, DELHI
JEEVAN TARA BUILDING: PARLIAMENT STREET;
NEW DELHI**

PRESIDING OFFICER: Dr. REKHA G. DHAKAR

T.A. No. 99/2015

State Bank of India,
Meenakshi Garden, Tilak Nagar,
New Delhi- 110 018.

Applicant Bank

Versus

- 1. M/s N.P.K. Buildcon,**
17A/38-39, Vardan House,
Ajmal Khan Road,
Karol Bagh, New Delhi-110005.
- 2. Smt. Renu Khanna,**
Flat No. 1003- 04, Tower- C,
Krish Vatika, Alwar By Pass Road,
Near Power Grid Khajuriwas,
Bhiwadi, Rajasthan- 301 019.
- 3. Sh. Varun Khanna,**
Flat No. 1003- 04, Tower- C,
Krish Vatika, Alwar By Pass Road,
Near Power Grid Khajuriwas,
Bhiwadi, Rajasthan- 301 019.
- 4. Sh. Vinod Khanna,**
Flat No. 1003- 04, Tower- C,
Krish Vatika, Alwar By Pass Road,
Near Power Grid Khajuriwas,
Bhiwadi, Rajasthan- 301 019.
- 5. Shri Pulkit Khanna,**
Flat No. 1003- 04, Tower- C,
Krish Vatika, Alwar By Pass Road,
Near Power Grid Khajuriwas,
Bhiwadi, Rajasthan- 301 019.

Also at:

17A/38, W.E.A. Private No. 8, 1st floor,
Vardhman House, Karol Bagh, New Delhi.

- 6. Sh. Sidharth Khanna,**
Flat No. 1003- 04, Tower- C,
Krish Vatika, Alwar By Pass Road,
Near Power Grid Khajuriwas,
Bhiwadi, Rajasthan- 301 019.
- 7. Sh. Vinod Khanna, Karta,**
M/s V.K. & Sons (HUF),
17A/38, W.E.A. Private No. 8, 1st floor,
Vardhman House, Karol Bagh, New Delhi.
- 8. Sh. Vinod Khanna, Karta,**
M/s P.D. Khanna & sons (HUF),
17A/38, W.E.A. Private No. 8, 1st floor,
Vardhman House, Karol Bagh, New Delhi.

Defendants

**Counsels: Sh. Vipin Jai, Counsel for Applicant Bank.
Sh. Ajay Kumar, Counsel for Defendants 1-3**

FINAL ORDER **(03.07.2019)**

The Applicant Bank has filed the OA on 25.2.2015 before Ld. DRT-III, Delhi which stands transferred to this Tribunal vide order dated 23.7.2015 passed by Ld. Registrar, DRT- III, Delhi and renumbered as TA 99/2015. The OA has been filed for recovery of Rs. 2,09,95,513/- (Rupees Two Crore Nine Lakhs Ninety Five Thousand Five Hundred Thirteen Only) along with pendente lite and future interest @13.75% p.a. on Cash Credit and 14.25% p.a. on Term Loan at monthly rest from the date of OA till its realization.

2. Brief facts of the OA are that the present OA is filed by Sh. Murari Mishra, Manager of the applicant bank who is fully conversant with the facts of the case as well as competent to sign, verify and institute the present OA.

3. It has been stated that the Defendant No. 1 is a Partnership firm. The defendant no. 1 is engaged in the business of manufacturing and trading of building material. Defendants 2 to 6 in their personal and individual capacity guaranteed the due repayment of the financial assistance lent and advanced by the applicant to the Defendant no. 1. Defendants' no. 2 and 3 are the partner and guarantors and Defendants no. 4 to 6 are guarantors and Defendants No. 4, 7 and 8 are mortgagors.

4. It has been stated that Defendant no. 1 approached the Applicant bank for grant of financial assistance. The said request was considered by the Applicant Bank and sanctioned the said credit facilities vide sanction letter dated 11.06.2012 for an amount of Rs. 205.00 Lakhs (Rs. 125 lakhs as Working Capital and Term Loan for Rs. 80 lakhs). The terms and conditions of the sanction were duly accepted by the Defendants. In consideration of grant of aforesaid credit facilities, the defendants

executed and signed various loaning and security documents dated 29.06.2012 i.e. Hypothecation of goods and assets, Personal Guarantee of partners, Hypothecation-cum-working capital agreement, Term Loan agreement, declaration, undertaking, guarantee agreement etc. Further in order to secure the facilities the defendant No. 3 ,7 and 8 created an equitable mortgage in favour of the applicant bank by depositing the title deeds of the properties i.e. 17A/38, WEA, Private No. 6A, 1st Floor, Vardhman House, Karol Bagh, New Delhi (ii) 17A/38, WEA, Private No. 8, 1st Floor, Vardhman House, Karol Bagh, New Delhi and (iii) property no. 17A/38, WEA, Private No. 7, 1st Floor, Vardhman House, Karol Bagh, New Delhi. Defendant no. 1 agreed to pay interest @ 2.25% above base rate i.e. 10.50% (13.75%) on Cash Credit facility and interest @ 3.75% above base rate i.e. 10.50% (14.25%) p.a. on Term Loan.

5. After availing the aforesaid facilities defendants failed to maintain the financial discipline in the said account and due to persistent irregularity and default in the loan account of the defendants, the account was classified as NPA on 28.02.2014. Thereafter, the applicant bank has filed the present OA for claiming an amount of Rs. 2,09,95,513.00 together with pendente lite and future interest and for issuance of Recovery Certificate for the said amount.

6. Notice was issued to the defendants. Defendants no. 1 to 8 appeared through counsel and filed reply/WS jointly.

7. In the WS defendants have raised the objections that:

- (i) The applicant does come with clean hand and suppressed the material facts.
- (ii) The applicant bank has restricted the drawing power of the defendant to a lesser limit.
- (iii) The applicant has charged the exorbitant rate of interest.

(iv) The applicant has not provided the correct information to the defendants thus account was classified as NPA.

(v) The applicant has already taken the possession of the mortgage property thus no cause of arisen to file the OA before this Tribunal.

8. The Applicant Bank has filed rejoinder to the WS filed by the defendants and reiterated the averments made in the OA.

9. The Applicant Bank has filed its evidence by way of affidavit of Shri Murari Mishra, Branch Manager of the applicant bank who has proved the various loaning and security documents such as Exhibit A-1 to Exhibit A-15.

10. Defendants have filed their evidence through Sh. Varun Khanna, Partner of Defendant no. 1 and exhibit the documents as Exhibit DW1/1 (Site Plan of mortgaged) and DW1/2 (copy of payment schedule).

11. I have heard the submissions of both the sides and perused the record.

12. Now I would like to decide the objection raised by the defendants in their WS.

(i) First objection of the defendants is that the applicant does come with clean hand and suppressed the material facts. Which material fact required for the just decision of the case has been suppressed or mis-represented by the applicant bank has not been explained. I have gone through the OA. It is quite exhaustive and mentions all the relevant facts required for the just decision of the case. The objection raised by the defendant is rejected.

- (ii) Next objection of the defendants is that the applicant bank has restricted the drawing power of the defendant to a lesser limit. The Ld. Counsel for Applicant vehemently opposed the same and submitted that any deposit made by the defendants in the loan account of the defendants no. 1 has been given due credit. The onus lies upon the defendants to prove the documentary proof in support of their contention, however the defendants failed to prove the same. Thus, this objection having no merits and is hereby rejected.
- (iii) The next objection of the defendants is that the applicant has charged the exorbitant rate of interest. The applicant has denied the same and submitted that the applicant has charged the rate of interest as per RBI guide lines from time to time. I have perused the record and reveal that the defendants have duly acknowledge and accepted the terms of sanction letter dated 11.06.2012 **Exhibit A-3**. The defendants agreed to pay the interest @ 13.75% p.a. and 14.25% p.a. on term loan and cash credit limit which was subject to change as per RBI guidelines. Therefore, this objection of the defendant is hereby rejected.
- (iv) Another objection of the defendants is that the applicant has not provided the correct information to the defendants thus, account was classified as NPA. The applicant has vehemently opposed the same and submitted that the account was classified as per RBI guidelines. The onus lies upon the defendants to prove the documentary evidence in support of their contentions but they failed to do so. Thus, this objection is hereby rejected.
- (v) Last objection of the defendants is that the applicant has already taken the possession of the mortgage property thus, no cause of arisen to file the OA before this Tribunal. The cause of

action arises on when the defendants have approached the bank. Further the cause of action arises when the applicant has declared the account as NPA on 28.02.2014. The cause of action subsists and recurring one so long as the defendants did no pay the outstanding dues. Therefore, the objection of the defendants having no merits, hence rejected.

13. The witness of the applicant bank has fully corroborated the averments made in the OA. Even otherwise the whole case of the applicant bank is based on documents and the witness has duly proved all these documents. In my view there is no question of disbelieving the evidence lead by the applicant bank and the applicant bank has proved its case beyond reasonable doubts. The liability of all the defendants is joint and several.

14. The Applicant Bank has claimed interest @13.75% p.a. on Cash Credit and 14.25% p.a. on Term Loan at monthly rest from the date of OA till its realization together with pendent lite and future interest from the date of filing of the present OA till its realization, the same is allowed.

15. In the light of above discussions, the Original Application deserves to be allowed against the defendants being principal borrower, guarantors and mortgagors. Hence the same is allowed.

ORDER

- i) I allow this OA and direct the defendants to pay the applicant bank within a period of 30 days, a sum of Rs. 2,09,95,513/- (Rupees Two Crore Nine Lakhs Ninety Five Thousand Five Hundred Thirteen Only) along with pendentelite and future interest @13.75% p.a. on Cash Credit and 14.25% p.a. on Term Loan at monthly rest from the date of OA till its realization, failing which the aforesaid amount shall be recovered from the sale of properties i.e.

a) Property No. 17A/38, WEA, Private No. 6A, 1st Floor, Vardhman House, Karol Bagh, New Delhi;

(b) Property No. 17A/38, WEA, Private No. 8, 1st Floor, Vardhman House, Karol Bagh, New Delhi; and

(c) Property no. 17A/38, WEA, Private No. 7, 1st Floor, Vardhman House, Karol Bagh, New Delhi;

and in case of shortfall, if any, from the sale of other personal movable and immovable assets of the Defendants.

The cost of litigation be also borne by the defendants.

ii) The Applicant Bank is also directed to file the revised statement of account before the Ld. Recovery Officer of this Tribunal.

iii) The recovery certificate be issued forthwith and be sent to the Recovery Officer, DRT-I Delhi.

iv) Parties are directed to appear before the Recovery Officer, DRT-I Delhi on 14.08.2019.

v) Copy of this Judgment and recovery certificate be sent to all the parties free of cost by registered post. File be consigned to record room.

(Dr. REKHA G. DHAKAR)
PRESIDING OFFICER,
DRT-I, DELHI

ANNOUNCED IN OPEN COURT
July 03, 2019.